

1915.

**GOVERNMENT OF INDIA.
FOREIGN AND POLITICAL DEPARTMENT.**

SECRET—E.

Proceedings, March 1915, Nos. 185—188.

Grant of a further loan of Rs25,000 to His Highness the Sultan of Maskat.

PREVIOUS PROCEEDINGS.						LATER PROCEEDINGS.				
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(2)

FOREIGN AND POLITICAL DEPARTMENT NOTES.

SECRET—E., MARCH 1915.

Nos. 185—188.

GRANT OF A FURTHER LOAN OF R25,000 TO HIS HIGHNESS THE SULTAN OF MASKAT.

LETTER FROM THE POLITICAL RESIDENT IN THE PERSIAN GULF, No. CF-15, DATED THE 7TH
(RECEIVED 20TH) JANUARY 1915.

Pro.
No. 185.

*Requests sanction to the grant of a loan of R25,000 to His Highness the Sultan of Maskat,
free of interest, on the terms of repayment proposed.*

This is a request from the Sultan of Maskat for a loan of R25,000, free of interest, which he proposes to repay from his subsidies in monthly instalments of R5,000 after he has paid up the balance now outstanding of the loan of R60,000 granted to him last year, of Cf. Nos. 22 and 24 in Sec. E., June 1914, which he still has R15,000 to pay. This amount will have been paid in by April next.

2. The amount proposed can be sanctioned by the Government of India without previous reference to the Secretary of State, but the matter will be reported to him in due course for confirmation.
Vide No. 411 in Sec. E., May 1912, Nos. 411-412.

3. In the circumstances explained by Colonel Knox, the proposed loan of R25,000 to the Sultan of Maskat may be recommended for favourable consideration in the Finance Department. The loan, if sanctioned, will be free of interest, as in a recent file * dealing with the grant of a loan to the Fadhli Sultan it was decided, with the concurrence of the Finance Department, that all loans granted in future to Arab Chiefs within the political jurisdiction of the Political Resident in the Persian Gulf would be free of interest.

E. A. R.,—27-1-1915.

It is to our advantage to assist the Sultan of Maskat in his conflict with fanatical Arabs which has proved something of a strain on his resources. The subsidy gives us security.

Finance Department may be asked to regard the proposal favourably, if possible.

J. L. MAFFEY,—28-1-1915.

A. H. GRANT,—29-1-1915.

Finance Department.

We may agree to the grant of a loan of R25,000, free of interest, to the Sultan of Muskat repayable by monthly instalment of R5,000 from the subsidy payable by the Nos. 22 and 24 in Sec. E., June 1914, Nos. British Government to the Sultan; repayment to commence when the former loan is paid off.

(The loan will be met from the Imperial Loan Account and will be adjusted in the books of the Comptroller, India Treasuries.)

E. BURDON,—4-2-1915.

J. B. BRUNYATE,—4-2-1915.

Foreign and Political Department.

Issue the draft below.

J. L. MAFFEY,—6-2-1915.

A. H. GRANT,—6-2-1915.

LETTER TO COLONEL S. G. KNOX, C.I.E., No. 768-D. CONFIDENTIAL, DATED THE 8TH FEBRUARY
1915.

Pro.
No. 186.

Sanctions the loan to the Sultan of Maskat on the terms stated.

ENDORSEMENT TO THE FINANCE DEPARTMENT, No. 769-D., CONFDL., DATED THE 8TH FEBRUARY 1915.

Forwards copy of the papers cited.

As these advances are to be reported * to the Secretary of State "without delay" for confirmation, the Secretary of State may be informed of the present advance as in the draft telegram below.

* Cf. No. 411 in Sec. E., May 1912, Nos. 411-412.

(His Excellency the Viceroy need not perhaps be troubled with this case.)

F. A. E.,—13-2-1915.

It seems unnecessary to spend money to telegraph as suggested above.

If Deputy Secretary (Frontier) agrees, the draft despatch I have put up as an alternative may issue.

E. L. N.,—15-2-1915.

The despatch meets the case and may be substituted for the telegram.

J. L. MAFFEY,—15-2-1915.

A. H. GRANT,—16-2-1915.

Pro.
No. 187.

DESPATCH TO HIS MAJESTY'S SECRETARY OF STATE FOR INDIA, No. 14 (SECRET-EXTERNAL), DATED THE 25TH FEBRUARY 1915.

Requests confirmation of the action of the Government of India in granting a loan of Rs25,000 to the Sultan of Maskat.

Pro.
No. 188.

ENDORSEMENT TO THE FINANCE DEPARTMENT, No. 64-E.A (CONFDL.), DATED THE 3RD MARCH 1915.

Forwards a copy of the foregoing despatch for information.

PROCEEDINGS OF THE
FOREIGN AND POLITICAL DEPARTMENT, MARCH 1915.

Loan to H. H. the Sultan of Maskat.

Pro, No. 185

GRANT OF A FURTHER LOAN OF R25,000 TO HIS HIGHNESS THE SULTAN
OF MASKAT.

No. Cf. 15, dated Bushire, the 7th (received 20th) January 1915 (Confidential). *Pro no*

From—LIEUTENANT-COLONEL S. G. KNOX, C.I.E., on Special Duty (in the absence of the Resident),

To—The Foreign Secretary to the Government of India in the Foreign and Political Department.

I have the honour to report that, as long ago as the 8th August 1914, the Political Agent, Maskat, reported that His Highness the Sultan had sounded him with reference to an application that he was contemplating to the Government of India for a loan of Rs. 15,000 to Rs. 20,000 in the event of the rebels from the interior renewing their activity on the Coast towns. The Political Agent submitted His Highness's application to me and in reply I asked him to let me know what conditions His Highness proposed for repayment, without which it was impossible for me to submit the proposal to Government. I received no reply and judged from my experience of Maskat that the proposal had been forgotten by His Highness and would be reverted to in due course should the rebels again show activity.

2. The Political Agent now reports that, at the Sultan's request, Saiyid Nadir has reminded the Political Agent of the proposal and asks for a loan of Rs. 25,000 which His Highness proposes to repay from the subsidies he receives from Government in monthly instalments of Rs. 5,000 as soon as the outstanding balance of the old loan has been paid off.

3. In regard to this last, I would invite attention to Foreign Department Telegrams No. 190 S., dated 5th April 1914, and No. 232 S., dated 17th April 1914, addressed to Political Agent, Maskat, and repeated to this office. *+ Pro no. 22*
The Political Agent informs me that the present position of affairs is that the balance now outstanding is Rs. 15,000 which is being repaid by monthly instalments of Rs. 5,000. His Highness should ordinarily, therefore, be free of his debt to Government by April. *in P. 4. Jan 1914, no. 15-2*

4. His Highness appears to be showing some commendable activity against the Bani Battash and to be making serious efforts, though not perhaps exactly on the lines that would be selected by Government, towards the restoration of his authority. His Highness has further behaved well during the present crisis. The Political Agent supports the proposed loan and adds that the "punitive measures now being undertaken against the Bani Battash no doubt make the provision of funds a necessity".

5. Ordinarily, it would perhaps be advisable to attach to the grant of this favour some conditions reminding His Highness of the proposed Levy Corps for the protection of Maskat and Matrah, but the present difficulties in the way of bringing this project to maturity seems prohibitive for the moment, and I therefore venture to request the Government of India to be pleased to sanction the loan of a further sum of Rs. 25,000 without interest on the terms of repayment proposed and without further conditions.

No. 768 D., dated Delhi, the 8th February 1915 (Confidential). *Pro no. 186*

From—The Deputy Secretary to the Government of India in the Foreign and Political Department,

To—LIEUTENANT-COLONEL S. G. KNOX, C.I.E., on Special Duty, Bushire.

I am directed to acknowledge the receipt of your confidential letter, No. Cf. 15, dated the 7th January 1915, in which you recommend the grant of a loan of Rs. 25,000, free of interest, to His Highness the Sultan of Maskat. *+ Pro no. 185*

2. The loan is sanctioned. It should be repaid from the subsidies he receives from the British Government in monthly instalments of Rs. 5,000 as soon as the outstanding balance of the old loan has been paid off.

769 D.

A copy of the foregoing letter, together with a copy of the letter to which it is a reply, is forwarded to the Finance Department, for information, in continuation of the endorsement from the Foreign and Political Department. *+ Pro no. 36*

3
No. 14 of 1915.

GOVERNMENT OF INDIA.

Pro no. 187

FOREIGN AND POLITICAL DEPARTMENT.

SECRET.

External.

To

THE MOST HON'BLE THE MARQUESS OF CREWE, K.G.,
His Majesty's Secretary of State for India.

DELHI, the 25th February 1915.

MY LORD MARQUESS,

We have the honour to forward copy of the letters cited on the margin regarding the grant of a loan of Rs. 25,000, free of interest, to His Highness the Sultan of Maskat, whose resources have been considerably reduced by punitive measures undertaken against the Bani Battash tribe. *x Pro no. 185-4186*

2. The loan will be repaid from the subsidies which His Highness receives from the British Government in monthly instalments of Rs. 5,000. Repayment will begin in April 1915 when it is expected that His Highness will have paid off the outstanding balance of the loan previously sanctioned.

3. We trust Your Lordship will confirm our action. *+ p. 2. June 1916 no. 15-36*

We have the honour to be,

MY LORD MARQUESS,

Your Lordship's most obedient, humble servants,

(Signed) HARDINGE OF PENSHURST.

„ BEAUCHAMP DUFF.

„ R. W. CARLYLE.

„ HARCOURT BUTLER.

„ S. A. IMAM.

„ W. H. CLARK.

„ R. H. CRADDOCK.

„ W. S. MEYER.

PROCEEDINGS OF THE
FOREIGN AND POLITICAL DEPARTMENT, MARCH 1915.

Loan to H. H. the Sultan of Maskat.

Pro. No. 188

No. 64-E.A., dated the 3rd March 1915.

Endorsed by Foreign and Political Department.

Pro.
No. 188

A copy of the marginally noted paper is forwarded to the Finance Department for information, in continuation of the endorsement from the Foreign and Political Department, No. 769-D., dated 8th February 1915.

Despatch to His Majesty's Secretary of State for India, No. 14 (Secret-External), dated the 25th February 1915.